

CAMBRIDGE IGCSE ACCOUNTING 0452

Topic 03 - Verification of accounting records

Premium Table Answer Booklet

18
questions

2021-2025
Paper 2

Premium
readable layout

Rebuilt for easier reading with structured tables, clear answer sections and highlighted workings. Use beside the matching topical question bank.

Contents

No.	Subtopic	Source
01	3.2 Correction of errors	Feb/Mar 2021 Paper 22 Question 3 - 20 marks
02	3.2 Correction of errors	May/June 2021 Paper 22 Question 5 - 20 marks
03	3.2 Correction of errors	Oct/Nov 2021 Paper 21 Question 3 - 20 marks
04	3.2 Correction of errors	Oct/Nov 2021 Paper 22 Question 4 - 20 marks
05	3.2 Correction of errors	May/June 2022 Paper 22 Question 3 - 20 marks
06	3.2 Correction of errors	Feb/Mar 2023 Paper 22 Question 2 - 20 marks
07	3.2 Correction of errors	May/June 2023 Paper 21 Question 3 - 20 marks
08	3.2 Correction of errors	May/June 2023 Paper 22 Question 2 - 20 marks
09	3.2 Correction of errors	Oct/Nov 2023 Paper 22 Question 4 - 20 marks
10	3.2 Correction of errors	May/June 2024 Paper 23 Question 3 - 20 marks
01	3.3 Bank reconciliation	May/June 2021 Paper 21 Question 1 - 20 marks
02	3.3 Bank reconciliation	Oct/Nov 2022 Paper 22 Question 3 - 20 marks
03	3.3 Bank reconciliation	Oct/Nov 2023 Paper 21 Question 1 - 20 marks
01	3.4 Control accounts	Oct/Nov 2021 Paper 22 Question 1 - 20 marks
02	3.4 Control accounts	Feb/Mar 2022 Paper 22 Question 2 - 20 marks
03	3.4 Control accounts	Oct/Nov 2022 Paper 22 Question 2 - 20 marks
04	3.4 Control accounts	Feb/Mar 2023 Paper 22 Question 3 - 20 marks
05	3.4 Control accounts	Feb/Mar 2024 Paper 22 Question 2 - 20 marks

Question 01

20 marks

Feb/Mar 2021 Paper 22 Question 3 - 20 marks

3.2 Correction of errors

3(a)

The suspense account balance is entered on the trial balance

Definition: means equal debits credits trial balance

3(b)

Rachel 11 Journal

Error	Details	Debit	Credit
number	\$	\$	
Premises repairs	220		
Premises	220		
Motor vehicles	3400		
Neil's Wheels	3400		
Sales	100		
Purchases	100		
Sales returns	19		
Suspense	19		
Suspense	50		
5 Bank interest received		25	
Bank charges	25		

3(c)(i)

Error 3.

3(c)(ii)

Error 2.

3(d)

Gross Profit	Profit for the year
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Error number

No effect	Understated	Overstated	No effect	Understated	Overstated
\$	\$	\$	\$		
1	220				

2

3

4	19	19
5	50	

3(e)

The accounting records may contain other errors which have not yet been found

END OF ANSWER

Question 02

20 marks

May/June 2021 Paper 22 Question 5 - 20 marks

3.2 Correction of errors

5(a)

Entries required to correct the error

Error	Debit	Credit	
Account		Account	\$
Cash drawings, \$200, had been omitted	Drawings	200 Suspense	200

from the drawings account.

A petty cash book payment, \$31, to Abel, a	Abel	31 Office expenses	31
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supplier, had been recorded in the column for office expenses.

Sales returns, \$105, had been correctly	Sales returns	105 Suspense	210
entered in the customer's account but had	Purchases returns	105	

been credited to the purchases returns

account.

A payment for motor expenses, \$72, had	Suspense	100 Motor expenses	100
---	----------	--------------------	-----

been recorded in the motor expenses

account as \$172.

A purchase invoice, \$102, from Abel, had	Purchases	204 Abel	204
---	-----------	----------	-----

been debited to Abel and credited to purchases.

5(b)

Kia

Suspense account

Date	Details	Debit	Credit
2021	2021		
April 30 Trial balance difference	310 April 30 Drawings	200	
Motor expenses	100	Sales returns	105
Purchases returns	105		
410	410		

5(c)

\$

Original balance	327
Purchases	204
Office expenses	(31)
Corrected balance	500

5(d)

The principle of materiality was applied. The cost of the calculator was an immaterial amount

Risk: cost recording calculator non current asset outweighed benefit The amount of depreciation would be insignificant The calculator may not last over 12 months

END OF ANSWER

Question 03

20 marks

Oct/Nov 2021 Paper 21 Question 3 - 20 marks

3.2 Correction of errors

3(a)

Anil 12 Journal

Error	Details	Debit	Credit
	\$	\$	
	1 Suspense	7100	
Sales	7100		
	2 Sales returns	520	
Purchases	520		
Suspense	1040		

OR

Sales returns		520	
Suspense		520	
Purchases		520	
Suspense		520	
	3 Bank charges		320
Suspense		320	
	4 Bank		1200
Suspense		600	
Insurance		600	

OR

Bank		1200	
Suspense		1200	
Suspense		600	
Insurance		600	

3(b)

Anil

Suspense account

Date	Details		Date	Details	
Sales	7100	Difference on trial			
balance	5140				
Sales returns	520				
Purchases	520				
Bank charges	320				
—	Bank	600			
7100	7100				

Key point: matching totals own balance brought down Key point: Alternative presentation used journal entry error 4 3

Date	Details		Date	Details	
Sales	7100	Difference on trial			
Insurance	600	balance	5140		
Sales returns	520				
Purchases	520				
Bank charges	320				
—	Bank	1200			
7700	7700				

3(c)

Commission, compensating, complete reversal, omission, original entry, principle Any 2 x 1 mark

END OF ANSWER

Question 04

20 marks

Oct/Nov 2021 Paper 22 Question 4 - 20 marks

3.2 Correction of errors

4(a)

Nikita Journal

Error	Details	Debit	Credit
	\$	\$	
1	Suspense	2000	
Insurance	2000		
2	Suspense	1000	
Discount received	500		
Discount allowed	500		
3	Kajal	400	
Suspense	400		
4	Aisha	700	
Anisah	700		

4(b)

Nikita

Suspense account

Date	Details	\$	Date	Details	\$
Insurance	2 000	Difference on trial			
Discount received	500	balance	2 600		
Discounts allowed	500	Kajal	400		
3 000	3 000				

4(c)

Nikita

Key point: Statement corrected profit year ended 30 June 2021

\$

Profit for the year before corrections	28 000	
Increase in	Decrease	
profit	in profit	
	\$	\$
Error 1	2 000	-
Error 2	1 000	-
Error 3	no effect	-
Error 4	no effect	-
3 000	3 000	
Corrected profit for the year	31 000 OF	

END OF ANSWER

Question 05

20 marks

May/June 2022 Paper 22 Question 3 - 20 marks

3.2 Correction of errors

3(a)

Mosi 11 Journal

Error	Details	Debit	Credit
number		\$	\$
	1 Suspense		192
Discount received		96	

Commission received

	2	Sales	927
Suspense			927
	3	Motor expenses	77
Bank			77
	4	Petty cash	135
Bank			135
	5	Stacey	160
Tracey			160

3(b)

Mosi

Suspense account

Date	Details	\$	Date	Details	\$
2022	2022				
Apr 30	Apr 30 Sales OF	927			
Difference on trial balance OF	735				

Discount received		96
Commission received		96
	927	927

3(c)

Mosi Calculation of corrected profit

	-	+	
	\$	\$	\$
Original profit		39 970	
Discount received		96	
Commission received		96	192
Sales		9270F	
Motor expenses		77	(1 004)
Corrected profit for the year		39 1580F	

END OF ANSWER

Question 06

20 marks

Feb/Mar 2023 Paper 22 Question 2 - 20 marks

3.2 Correction of errors

2(a)

Rai Journal

Error	Debit	Credit
Details		
number	\$	\$
1 Wages		200
Suspense	200	
2 Purchases		494
Stella	494	
3 Sales		100
Rent	100	
4 Suspense		75
Motor expenses	75	
5 Jasper		27
Suspense	27	

2(b)

Rai

Suspense account

Date	Details	\$	Date	Details	\$
2023	2023				
Jan 31	Difference on trial balance	152	Jan 31	Wages	200
Motor expenses	75	Jasper	27		
227	227				

2(c)

\$ \$

Draft profit		9 800	
Error 1	(200)		
Error 2	(494)		(694)
	9 106		
Error 4		75	
Corrected profit		9 181	OF

2(d)(i)

Assist in the preparation of financial statements

2(d)(ii)

Opening entries Purchase of non-current assets on credit Sale of non-current assets on credit Non-regular transactions

Year-end transfers to income statement

Recording depreciation Writing off irrecoverable debts Creation of/adjustment to provision for doubtful debts Contra entries between sales and purchases ledgers Drawings of goods/non-current assets

END OF ANSWER

Question 07

20 marks

May/June 2023 Paper 21 Question 3 - 20 marks

3.2 Correction of errors

3(a)

Entries required to correct the error

Error	Debit	Credit	
Account	\$	Account	\$
A payment for rent, \$300, had been			

Rent paid	300	Insurance	300
-----------	-----	-----------	-----

debited to the insurance account.

Sales to Raymond of \$105, had been

debited to the sales account and credited	Raymond	210	Sales	210
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to Raymond's account.

Eshe's total drawings from the bank for her

own use, \$9 500, had been debited to the	Drawings	9 500	Cash	9 500
---	----------	-------	------	-------

cash account.

A purchases invoice from Danika for \$137,

had been recorded in her account and in	Danika	36	Purchases	36
the purchases journal as \$173.				
Returns inwards, \$44, had not been				
Returns inwards	44	Suspense	44	

recorded in the returns inwards account.

The motor expenses account had been

Suspense	100	Motor expenses	100
overcast by \$100.			

3(b)

Eshe

Suspense account

Date	Details	\$	Date	Details	\$
2023	2023				
Mar 31 Motor expenses	100	Mar 31 Difference on trial balance	56		

OF

Returns inwards	44
100	100

3(c)

Calculation of closing capital

	\$	\$	\$
Capital at 1 April 2022	31 000 }		
Draft profit		15 600 }	
Add Sales invoice		210	
Purchases invoice		36	
Motor expenses		100	346
Less Returns inwards		44	15 902
Less Drawings		9 500	
Capital at 31 March		37 402OF	

END OF ANSWER

Question 08

20 marks

May/June 2023 Paper 22 Question 2 - 20 marks

3.2 Correction of errors

2(a)

Ramla Journal

Item	Details	Debit	Credit
number		\$	\$
	1 Irrecoverable debts		99
Mai		99	
	2 Fixtures and fittings		875
Padma		875	
	3 Loan		500
Loan interest		500	
	4 Bank / cash		180
Rent		180	
	5 Drawings		120
Wages		120	

2(b)

Item	Increase	Decrease	No effect on	Profit
in profit	in profit	profit		
	\$	\$	\$	
Draft profit	11 650			
1	99			
2	0			
3	500			
4	180			
5	120			
Adjusted profit	800	99	0	12 3510F

2(c)(i)

The prudence principle states that profits and assets are not overstated / losses and liabilities are not understated Decision point: Irrecoverable debts written off ensure profits assets overstated understate loss

2(c)(ii)

The business entity principle states that the business is regarded as being completely separate from the owner of the business OR

Decision point: entity principle states transactions recorded view Decision point: Drawings recorded correctly ensure profits understated capital overstated

END OF ANSWER

Question 09

20 marks

Oct/Nov 2023 Paper 22 Question 4 - 20 marks

3.2 Correction of errors

4(a)

Entries required to correct the error

Debit	Credit			
Error	Account	\$	Account	\$
A payment for rent, \$350, had been	Rent payable	350	Wages	350

debited to the wages account.

The sales journal for September had been

overcast by \$90.	Sales	90	Suspense	90
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Sales returns, \$110, had been recorded as purchases returns.

Purchases returns	110	Suspense	220
A payment for office expenses, \$18, had	Sales returns		110

been recorded in the office expenses

account as \$81.

Suspense	63	Office expenses	63
A petty cash book payment, \$29, to Cole, a			

supplier, had been recorded in the column for motor expenses.

Cole	29	Motor expenses	29
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4(b)

Rachel

Suspense account

Date	Details	\$	Date	Details	\$
2023	2023				

Date	Details		Date	Details	
Sep 30 Difference on trial	Sept 30 Sales	90			
balanceOF	247	Purchases returns	110		
Office expenses	63	Sales returns	110		
310	310				

4(c)

\$ \$

Draft profit	18 243
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Add:

Office expenses	63	
Motor expenses	29	92

Less:

Sales	90	
Purchases returns	110 }	
Sales returns	110 }	(310)
Corrected profit	18 025OF	

4(d)

Financial statements can still be reliable if errors are present provided those errors are not material or significant

END OF ANSWER

Question 10

20 marks

May/June 2024 Paper 23 Question 3 - 20 marks

3.2 Correction of errors

3(a)(i)

Bank statement

3(a)(ii)

Error 4

3(b)

Akil Journal

Error number	Details	Debit	Credit
		\$	\$

1	Sales returns	3 416	
Sales	3 416		
2	Insurance (115	2)	230
Suspense	230		
3	Discount received	47	
Discount allowed	47		
Suspense	94		

3(c)(i)

Shows that all the errors have not yet been found/corrected

3(c)(ii)

Akil

Suspense account

Date	Details	\$	Date	Details	\$
2024	2024				
Feb 29	Difference on Trial balance	385	Feb 29	Insurance	230
Purchases	90	Discount received	}		47
Discount allowed	}	47			
—	Balance c/d	151			
475	475				
March 1 Balance b/dOF	151				

3(d)

	\$	\$	\$
Plus		Minus	
Original draft profit		17 420	
Error 4		52	
Error 5		90	
Error 2		230	
Error 3		94	
	142	324	(182)
Draft profit after corrections		17 238OF	

END OF ANSWER

Question 01

20 marks

May/June 2021 Paper 21 Question 1 - 20 marks

3.3 Bank reconciliation

1(a)

Rahat 11 Cash Book

Date	Details	Disc.	Cash	Bank Date	Details	Disc.	Cash	Bank
2021	\$	\$	\$	2021	\$	\$	\$	
Mar 1	Balance b/d		150	Mar 1	Balance b/d		1980	
3	Sales		580	6	Insurance		360	
17	Sales		140	9	GH Limited		4	196
27	Disposal		50	13	Stationery		75	
31	Balance c/d		2246	30	Colin		10	340
290	2876		14	290	2876			
Apr 1	Balance b/d		215	Apr 1	Balance b/d OF		2246	

OFOF + dates

1(b)

Updating cash	Bank reconciliation
book	statement

Cheque from Burgess dishonoured

Cheque to Colin unrepresented

Overdraft interest

Standing order paid for rates

1(c)

Advantages Loan interest may be lower than overdraft interest No interest on overdraft to pay Have a longer time to repay a loan May improve relationship with bank Bank balance would be improved/liquidity would be improved New office furniture should lead to a better working environment

(Max 2)

Disadvantages Loan will have to be repaid Loan interest will have to be paid Early repayment may not be allowed The bank may require security No income/profit is generated from the office furniture

(Max 2)

Recommendation

END OF ANSWER

Question 02

20 marks

Oct/Nov 2022 Paper 22 Question 3 - 20 marks

3.3 Bank reconciliation

3(a)

MG Cash book (bank columns only)

Date	Details	\$	Date	Details	\$
2022	2022				
Aug 31	Balance b/d	25 600	Aug 31	RJ (dis cheque)	420
Rates (SO)	50	Insurance (DD)	110		
Bank charges	75				
_____	Balance c/d	25 045			
Sep 1 Balance b/d	25 045 OF				

3(b)

MG

Bank reconciliation statement at 31 August 2022

\$	
Balance shown in cash book	25 045 OF
Add unrepresented cheques JW	680
Less uncredited deposits TH	(910)
Balance shown on bank statement	24 815

Alternative presentation: \$

Balance shown on bank statement	24 815
Add uncredited deposits TH	910
Less unrepresented cheques JW	(680)

3(c)

Identify/correct either errors or omissions in the cash book

Identify errors on the bank statement

Update the cash book/obtain correct bank balance Assist in discovering fraud/deter or reduce risk of fraud Identify amounts not credited Identify cheques not presented Identify out-of-date (stale) and dishonoured cheques

3(d)**Insufficient funds in the bank account**

No/incorrect signature No date No amount No payee Words and figures disagree

3(e)

A standing order is when a person instructs their bank to pay a fixed sum at fixed intervals to another person Definition: direct debit permission given named person collect bank dates amounts can vary

3(f)

Accept - Order Sales/revenues will increase May lead to future orders Increase in profit for the year Could lose order if no discount given

Decline - Order Existing customers may request a similar discount Reduction in profit if discount given to all existing customers May damage relationship of existing customers Reduction in gross margin

Recommendation

END OF ANSWER

Date	Details	Disc	Cash	Bank	Date	Details	Disc	Cash	Bank
Allid	Rec								
2023	\$	\$	\$	2023	\$	\$	\$		
Sep 1	Balance	b/d	1 682	Sep 2 Rent	420				
4	Bank	350	4 Cash	350					
17	Sales	}	290	7 Latif	6	194			

28	Sydney	}	100	Wages	161
30					
-	350	2 072	11	350	2 072
Oct 1 Balances	b/d	189	1 013OF		

* OF *For both balances + dates

1(c)

Cash book balance 1 013OF Balance per bank statement 763

Sales by credit transfer	175	Outstanding lodgement	100	
Less bank charges	(35)	OR	Bank error	290
Corrected bank balance	1 153OF	Corrected bank balance	1 153OF	

END OF ANSWER

Question 01

20 marks

Oct/Nov 2021 Paper 22 Question 1 - 20 marks

3.4 Control accounts

1(a)

Ayesha 14

Sales ledger control account

Date	Details	\$	Date	Details	\$
2021	2021				
Aug 1 Balance b/d	9 800 Aug 1	Balance b/d	420		
Interest	90	Discount allowed	900		
Balance c/d	350	Irrecoverable debts	300		
Sales returns	2 400				
Contra	2 920				
Balance c/d	10 050				
2021	2021				
Sep 1 Balance b/d OF	10 050 Sep 1	Balance b/d	350		

Purchases ledger control account

Date	Details	\$	Date	Details	\$
2021	2021				
Aug 31 Bank	50 600 Aug 1 Balance b/d	7 700			
Discount received	600	31 Purchases	55 400		
Contra	2 920				
Balance c/d	8 980				
2021					
Sep 1 Balance b/d OF	8 980				

1(b)

Item	Book of prime entry
Returns	Sales returns journal
Discount allowed	Cash book
Interest charged to customer on overdue account	General journal/Journal
Contra entry	General journal/Journal

1(c)

Overpayment by credit customer

Credit customer returned goods after settling the account

Credit customer paid for goods in advance Payment by credit customer before cash discount was deducted

END OF ANSWER

Question 02

20 marks

Feb/Mar 2022 Paper 22 Question 2 - 20 marks

3.4 Control accounts

2(a)

Ravi

Sales ledger control account

Date	Details		Date	Details	
2021	2021				
Feb 1	Balance b/d	12 510*	Feb 1	Balance b/d both	1 245*
2022	2022				
Jan 31	Sales	134 000	Jan 31	Bank	96 250
Interest charged	1 104	Cash	12 890		
Sales returns	4 000				
Irrecoverable debts	9 100				
Contra entries	1 677				
Discount allowed	4 643				
Balance c/d	17 809				
2022	147 614	147 614			
Feb 1	Balance b/dOF	17 809			

*for both opening balances

2(b)

Prudence

2(c)(i)

Bank manager Level of trade receivables may influence bank's decision

Key point: bank believes trade receivables too high wish lend Risk: trade receivables too high adequate funds repay loan bank overdraft interest Risk: trade receivables too low adequate funds repay loan bank overdraft interest

2(c)(ii)

Trade payables Level of trade receivables may influence trade payable's decision

Key point: trade payable believes receivables insufficient decide supply continue cash terms only

Key point: trade receivables high adequate funds pay payables

2(d)

Reasons for employing a credit controller Should result in lower irrecoverable debts Should control the amount owed by trade receivables

Risk: Payments trade receivables likely received quickly collection period decreases Key point: Ravi time freed up carry out tasks Key point: salary credit controller irrecoverable debts Reasons for not employing a credit controller Have to pay an annual salary Salary would be paid regardless of amount of debts recovered No guarantee that all debts will be collected Legal fees may be incurred for any legal action

Risk: Damage relationship customers buy different supplier lose customer loyalty Could instead try to increase cash sales

Recommendation

END OF ANSWER

Question 03

20 marks

Oct/Nov 2022 Paper 22 Question 2 - 20 marks

3.4 Control accounts

2(a)

Item	Book of prime entry
Discount received from credit suppliers	Cash book
Purchases returns	Purchase returns journal
Contra entries	General journal
Interest charged by credit suppliers	General journal

2(b)

A balance on a purchase ledger account is transferred to an account for the same business in the sales

ledger Key point: Purchase ledger debited sales credited

2(c)

MC

Purchase ledger control account

Date			Date		
2022	Details	\$	2022	Details	\$
Jul 1	Balance b/d	130 *	Jul 1	Balance b/d	21 400* both
31	Purchase returns	9 800	31	Purchases	259 600
Bank	228 200	Interest charges	150		
Discount received	12 900	Balance c/d	180		
Cash	500				
Contra	2 260				
Balance c/d	27 540	_____			
281 330	281 330				
Aug 1	Balance b/d	180 **	Aug 1	Balance b/d	27 540 OF** both

2(d)

Reduce cost of goods/increase gross profit/lower selling price Reliability of new supplier/guaranteed supplier Must consider whether low price will be maintained/currency fluctuations Must consider whether goods will be of an acceptable quality Possible language differences/difficulty of communications May be more difficult in case of problems/disputes May experience delivery problems Contract is binding for one year

Recommendation

END OF ANSWER

Question 04

20 marks

Feb/Mar 2023 Paper 22 Question 3 - 20 marks

3.4 Control accounts

3(a)

Lucas

Sales ledger control account

Date	Details	\$	Date	Details	\$
2023	2023				
Jan 1 Balance b/d	14 940		Jan 31 Returns inwards	920	

Bank	}	10 620
Irrecoverable debts	140	
Contra	180	
Balance c/d	15 131	
Feb 1 Balance b/dOF	15 131	

3(b)

Lucas

Purchases ledger control account

Date	Details	\$	Date	Details	\$
2023	2023				
Jan 31 Returns outwards	463		Jan 1 Balance b/d	8 450	
Bank	6 675		31 Purchases	7 325	
Discount received	210		Interest	166	
Contra	180				
Balance c/d	8 413				

Date	Details		Date	Details	
Feb 1 Balance b/dOF	8 413				

3(c)

Assist in locating errors Key point: proof arithmetical accuracy ledgers they control Provide the total of trade receivables and trade payables immediately Also valid: draft financial statements to be prepared quickly

Key point: Provide summary transactions affecting trade receivables payables May help to reduce fraud

3(d)

For selling the equipment to pay supplier Release funds to pay most of amount outstanding/increase liquidity Would reduce any interest supplier may charge Would maintain good relationship with supplier Would earn a profit on disposal

Key point: affect ability earn profit New equipment could be purchased when funds are available

Against selling the equipment to pay supplier May have to pay interest to the supplier

Key point: damage relationship supplier pay requested Key point: provide enough pay supplier full rest cash bank May not be possible to operate efficiently without the equipment

Risk: cost replace equipment owing supplier Risk: consider obtaining money elsewhere trade receivables bank overdraft introducing capital etc Recommendation

END OF ANSWER

Question 05

20 marks

Feb/Mar 2024 Paper 22 Question 2 - 20 marks

3.4 Control accounts

2(a)(i)

Samir Journal

Date	Details	Debit	Credit
	\$	\$	

2023

Dec 31	Irrecoverable debts	178	
Ria		178	

Amount due from Ria written off due to bankruptcy.

2(a)(ii)

To comply with the prudence principle/avoid overstating the profit for the year/avoid overstating the trade receivables Key point: comply matching principle ensure irrecoverable debt recognised year sale was made

Key point: unlikely all amounts due trade receivable received

2(b)

Samir

Sales ledger control account

Date	Details	\$	Date	Details	\$
2023	2023				
Jan 1	Balance b/d	10 115	Dec 31	Sales returns	5 234
Dec 31	Sales	124 670	Bank	98 620	
Interest charged	139	Cash	11 470		
Contra	1 833				
Discount allowed	3 125				

Irrecoverable debts		178
Balance c/d		14 464
	134 924	134 924

2024

Jan 1	Balance b/dOF	14 464
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2(c)(i)

Advantages: Customers would pay the full amount of each invoice

Risk: Profit year increase expenses reduced Book-keeping would be less complicated May improve relationship with trade payables/may reduce trade payables turnover May be able to obtain cash discount from trade payables Trade payables may charge interest if payment made late

Disadvantages:

Key point: incentive customers pay quickly take longer Increased risk of irrecoverable debts Customers may buy less/go elsewhere/sales decrease/relationship with customers may deteriorate

Key point: half sales made cash removal cash discount limited effect Recommendation

2(c)(ii)

Increase selling price Reduce other expenses Reduce drawings/introduce additional capital Apply for a short-term loan/overdraft Charge interest on overdue accounts Improve credit control

END OF ANSWER